headed by Siby Mathews, a deputy inspector general of police to investigate the case.

On 30 November 1994, the day Nambi Narayanan was arrested, Siby Mathews wrote to the Kerala DGP recommending that the case be handed over to the Central Bureau of Investigation (CBI). On 2 December 1994, the state government made this request to the Centre. By now, the Intelligence Bureau (IB) had already moved in and started interrogating the accused in Trivandrum. In a few days, the IB had sent reports to the higher ups including the Prime Minister's Office confirming espionage and implicating Raman Srivastava, though the Kerala Police had not named him as an accused.

On 13 January 1995, hearing a public interest litigation (PIL) by an NGO called Niyamavedi, a division bench of the Kerala High Court headed by Justice Sreedharan made some adverse comments on the CBI investigation, which did not find any evidence to link Srivastava with the case. This led to the IPS officer's suspension on the same day.

The CBI moved the Supreme Court bench of Justice Sujatha Manohar and got the remarks expunged. But by then, K Karunakaran was forced to step down as the Chief Minister after the opposition and a faction of the Congress accused him of shielding Srivastava and aiding the spy ring.

When the CBI started its investigation on 4 December 1994, the IB had readied a grand theory of espionage that included names of some businessmen in India, a few woman conduits in Sri Lanka and a few Pakistanis based out of Sri Lanka who were alleged to be the financiers of the deal. It said Nambi Narayanan and Sasikumaran passed on drawings and flight details of India's Polar Satellite Launch Vehicle (PSLV) and a cryogenic rocket engine to Pakistan through the Maldivian women and some other contacts in Colombo. It spoke about meetings in a few hotels in Chennai and Trivandrum where tens of thousands of dollars changed hands.

It also mentioned the names of Aleksandr Dunayev, the chairman of Russian agency Glavkosmos and its administrative officer in charge of cryogenic technology Aleksey V Vasin, while propounding the theory that the Russian Ural Airlines was used to smuggle out drawings and flight